

THE FEDERAL MARITIME COMMISSION

D. F. YOUNG, INC., Complainant, v. NYK LINE (NORTH AMERICA), INC., Respondent.	Docket No. 16-02 RESPONDENT'S OPPOSITION TO COMPLAINANT'S MOTION FILED SEPTEMBER 6, 2017
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Respondent (“NYK”) opposes the September 6, 2017 motion (“[Motion](#)”) of Complainant (“DFY”) which seeks to add to the Record on Review. The Commission’s review is *de novo*, but it is limited to the Record before Judge Wirth. DFY does not show any entitlement to add to the Record at this late date.

A. NATURE OF DFY’S MOTION – CLARIFYING DFY’S WORDING

1. When DFY refers to “Tariff 156,” it appears to mean only two documents:
 - (a) *The Bill of Lading Sample Terms*: The sample Bill of Lading terms attached to Tariff NYKS 156; and
 - (b) *Tariff NYKS 156 Page Listing Rates and Charges*: The Bates stamped page NYK54886 (page 15 of 175 of its [Motion](#)). We will refer to this as the “Rates & Charges Page.”

Since those are the only parts of Tariff 156 DFY specifies, we have to assume its [Motion](#) is directed solely at those two documents—although this Opposition extends to all documents DFY would now improperly attempt to add to the record.

B. DFY'S NON-COMPLIANCE WITH RULE 71(a).

2. DFY's [Motion](#) is non-dispositive. See, Rule [69](#)(g). On non-dispositive motions, movant must first confer with opposing counsel to try to narrow the areas of disagreement, and must state in the motion that it has done so. Rule [71](#) (a). DFY has done neither.

3. If DFY were seeking nothing more than to correct an exhibit offered in support of arguments that were in fact made to the ALJ, we would have stipulated to it. However, DFY would use two documents not in the Record to support a new argument made for the first time here on review.

4. Not only did DFY fail to make the two documents part of the record below, it never argued to the ALJ, as it argues now, that they affect the construction of NYK's Tariff Rule 9 on forwarder compensation. This is a case of the missing argument rather than a purported clerical error.

C. SUMMARY OF NYK'S OPPOSITION

5. NYK opposes the [Motion](#) on the following grounds:

- (a) DFY materially misrepresents the contents of NYK's answer to NYK's requests for admissions ("RFA").
- (b) Bill of Lading para. 4 is irrelevant.
- (c) The Commission reviews summary decision dismissals *de novo*. However, it uses the record that was before the ALJ. By itself, *de novo* does not allow the unsuccessful party to recreate the record; nor does it allow arguments to be made for the first time on review.
- (d) DFY makes no showing it is entitled to official notice, reopening, or remand.

- (e) There is no public policy or regulatory reason under these circumstances for the Commission to depart from the general rule that arguments and evidence cannot be presented for the first time on review.

ARGUMENT

POINT 1

DFY'S MISREPRESENTS NYK'S ANSWER TO ITS REQUEST FOR ADMISSIONS

6. DFY identifies its "correct" MSD Exhibit A as NYK's Answer to DFY's RFA. [Motion](#), para. 5. DFY goes on to suggest that NYK's RFA Answer included the "relevant portions of NYK Tariff 156." *Id.* That is not true; as a review of the complete RFA Answer [NYK's Opp. Exhibit 4 attached] shows. (DFY attaches only a 2 page excerpt.)

- (a) No part of Tariff 156 was attached to NYK's RFA Answer, and apart from Rule 9 on forwarder compensation, no part of the Tariff/Bill of Lading sample is even quoted in NYK's RFA Answer. *See, NYK's Opp. Exhibit 4.*
- (b) The two documents included in DFY's [Motion](#) as Exhibit A are stamped with NYK Bates numbers. However, on April 11, 2016 when NYK served its RFA Answer [*see, NYK's Opp. Exhibit 4, last page*], documentary production had not yet been Bates stamped. *See, NYK's Opp. Exhibit 1 (copy attached).* That was not done until a month later. *See, NYK's Opp. Exhibit 2 (attached).*
- (c) Moreover, had the relevant "portions" of the Tariff (i.e., the Bill of Lading sample and the Rates & Charges Page) been included as separate documents to NYK's RFA Answer, DFY would have separately identified them in its list of MSD Exhibits. It did not do so. *See, NYK's Opp. Exhibit 3 (attached).*

So the May 2016 Bates stamped documents in DFY's [Motion](#) Exhibit A could not have been part of NYK's April 2016 RFA Answer as DFY falsely contends.

POINT 2

PARA. 4 OF THE NYK BILL OF LADING SAMPLE CONTAINED IN ITS TARIFF IS IRRELEVANT.

7. To be added to the record after an initial decision, a document must *at least* be *relevant* even if it satisfies the other requirements discussed below (which it does not). Para 4 is not for the reasons explained paras. 40, 50-57 of NYK's Reply to DFY's Exceptions. That Reply is being filed contemporaneously with these opposition papers. NYK incorporates that Reply by reference.

POINT 3

EVEN IF PARA. 4 OF THE BILL OF LADING WERE RELEVANT, DFY'S MOTION TO ADD TO THE RECORD IS TOO LATE, AND IT HAS NOT MADE THE SHOWING NEEDED TO JUSTIFY PRESENTING EVIDENCE AND ARGUMENT FOR THE FIRST TIME ON REVIEW.

8. Even if Para. 4 were somehow relevant, DFY has still not made the showing it needs to have the two Bates stamped documents added to the record at this stage.

9. The Commission reviews initial decisions of dismissal *de novo*. Rule [227\(a\)\(6\)](#). "*De novo*" means that the Commission owes no deference to the ALJ's *findings of fact or law*. See, e.g., [OC Int'l Freight, Inc.](#), p. 8 - (2014 WL 5316336, *5) (Commission may enter its own findings). [1]

¹ Despite the *de novo* nature of its review, the Commission will generally accept the ALJ's findings of fact and law where they are "well-reasoned and supported by evidence in the record." See, e.g., [United Logistics \(LAX\) Inc.](#), p. 3 - (2014 WL 5316339, *1).

10. However, as a general rule, “*de novo*” means that the Commission is still bound by the *record* created before the ALJ.

... a grant of summary judgment is reviewed *de novo*, such review is based on the record *that existed at the time of summary judgment*.

See, [Maher Terminals, LLC v. The Port Authority](#), p. 6 - (2014 WL 5316353, *3) (Emphasis added).

... the Commission’s rules and precedent mandate that a decision be reached relying only upon reliable, probative, and substantial evidence of record. A review of the record of this proceeding indicates that Green Master raised new facts that are inappropriate at this stage in the proceeding and thus should be excluded. None of the authorities Respondent cites stands for the proposition that the Commission may look outside the evidentiary record in reaching a decision or consider statements and facts unsupported by such evidence.

* * *

The evidence Green Master seeks to introduce ... does not describe a material change of fact or law alleged to have occurred since issuance of the Initial Decision.

[Green Master Int’l Freight Services Ltd.](#), p. 11, 42 – (2003 WL 1016920, *21) (Granting a motion to strike); see also, Rule [216](#) (Party may only move to supplement the record *before* the initial decision is issued).

DFY’s Reliance on Rule 226

11. Official notice is simply another way for evidence to be offered to the ALJ. We find nothing in Rule [226](#) or its application to suggest that official notice operates outside the evidentiary time limits imposed by Commission’s rules. Granting official notice of new evidence at this stage would violate Commission rules as discussed herein.

DFY’s Reliance on Rule 230

12. In [Crocus Investments, LLC v. Marine Transp. Logistics](#), Docket No. 15-04, p. 8 (03/06/2017), the Commission set out the test for a Rule [230](#) motion to re-open.

The moving party must explain “the grounds [that] requir[e] reopening the proceeding, including material changes of fact or of law alleged to have occurred since the conclusion of the hearing.” *Submitting evidence that was previously available to the moving party is not adequate grounds for reopening the proceedings.*

[Emphasis added, citations and footnotes omitted]. [2]

13. DFY does not show any material change in the law or the facts since the [Initial Decision](#). The two Bates stamped documents were available to DFY since May 2016, and any new arguments which DFY now makes were arguments DFY could have made on the summary decision motions.

It is a well settled principle of federal litigation that parties cannot withhold “known facts helpful to [their] cause” and later rely on them as justification for reversing an unfavorable outcome. In keeping with that principle, the Commission has denied petitions to reopen for the purpose of submitting previously available evidence.

[Crocus](#), above, at p. 10 (Citations omitted).

14. If there are no grounds to reopen, then remand should be denied as well. *See*, [Crocus](#), above, at p. 15, Sect. C.

POINT 4

THERE IS NO COUNTERVAILING PUBLIC POLICY, REGULATORY, OR OTHER GOOD AND SUFFICIENT REASON TO GRANT DFY’S MOTION.

15. The Commission performs regulatory as well as adjudicatory roles. We understand that even if a party to an adjudicatory case shows no right to present arguments or evidence for the first time on review, the Commission cannot allow an initial decision to stand that would set a bad precedent, disrupt the industry, or contravene public policy. We do not believe the [Initial Decision](#) falls into that category.

² The Commission has rejected F.R.Civ.P. 60 as the governing standard for reopening a case. *Crocus*, above, at 9, n. 3.

16. Saying that she shared “DFY’s concerns about secret agreements in the form of confidential service contracts, which impact the rights of third parties,” the ALJ was careful to limit her decision “[u]nder these facts.” Those facts are that DFY admitted it was aware that NYK Line was refusing to pay freight forwarder compensation in this instance, but took a calculated risk to go ahead and work on the shipments, knowing that it might not receive compensation from NYK Line. [Initial Decision](#), p. 27. So, this is not an instance in which NYK intentionally or unintentionally led DFY down the garden path.

17. We submit that when DFY chose to take such a risk under these circumstances, the situation does not raise any public policy or regulatory concerns.

20. DFY points to [Rule 10](#) which allows the Commission to waive rules to prevent undue hardship, manifest injustice, or if the expeditious conduct of business so requires. However, a waiver is not automatically given simply by asking, and DFY has made no factual showing that any of grounds apply to allow DFY to raise arguments for the first time on review.

26. DFY also points to Rule “161”. However, there is no Rule 161. See, [46 C.F.R. at Subpart J](#). If DFY means Rule [261](#), that Rule is inapplicable absent a final decision or order by the Commission.

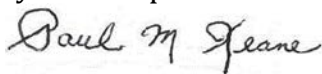
CONCLUSION

The [Motion](#) should be denied.

Dated: White Plains, NY

October 11, 2017

Respectfully submitted,
CICHANOWICZ CALLAN KEANE & De MAY, LLP
50 Main Street, Ste. 1045, White Plains, NY 10606
212-344-7042 | pkeane@cckd-ny.com
Attorneys for Respondent

By: 
Paul M. Keane

NYK's Opposing EXHIBIT 1

Paul Keane

From: Paul Keane
Sent: Monday, April 11, 2016 4:49 PM
To: Thomas J. Wagner; Gabriel Major
Cc: Joseph De May
Subject: Our File: 10102/PMK -
Attachments: 10102-NYK-Answers-INT.pdf; 10102-NYK-Answers-RFA.pdf; 10102-NYK-Answers-RFP.pdf; 10102-NYK-INT-verification.pdf; 10102-NYK-RFA-verification.pdf; 10201-CoverLetter-Discovery-Wagner.pdf

Gentlemen:

Please see attached cover letter. Also attached in PDF format please find scans of Respondent's answer to Complainant's interrogatories, request for production, and request for admissions. Hard copies have already been mailed to you.

As a friendly reminder, we note that you have not responded to Respondent's discovery requests.

Finally, we confirm my telecom with Gabriel Major that due to the voluminous nature of the documents that will be exchanged, the depositions scheduled for this week have been adjourned for minimum of two weeks.

Best regards,
Paul

Paul M. Keane
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914-682-2083

April 11, 2016

Dear Tom and Gabe,

Enclosed please find Respondent, NYK's responses to Complainant's Requests for Production, Interrogatories, and Requests for Admissions.

Please note that due to the voluminous nature of the documents provided by NYK, I will be providing the Bates Nos. for the applicable requests after I've had a chance to go through them. I will act expeditiously and let you know if I expect any undue delay.

Very truly yours,
CICHANOWICZ CALLAN KEANE
& DE MAY, LLP

By: /s/ PAUL M. KEANE
Paul M. Keane

NYK's Opposing EXHIBIT 2

Paul Keane

From: Paul Keane
Sent: Monday, May 16, 2016 5:50 PM
To: Gabriel Major; Thomas J. Wagner
Cc: Joseph De May
Subject: Response to Complainant's RFP
Attachments: Scan0077.pdf; 10102-PMK-Ltr-RFP-Resp w bates sign.docx

Dear Sirs:

Pls see attached Bates designation in NYK's Response to Complainant's Request for Production and accompanying letter. Documents were forwarded by Fed Ex this afternoon.

Paul M. Keane
Cichanowicz Callan Keane & De May, LLP
50 Main Street, Suite 1045
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May 16, 2016

The Law Offices of Thomas J. Wagner, LLC
8 Penn Center, 6th Floor
1628 John F. Kennedy Blvd.
Philadelphia, PA 19103
Attn: Thomas J. Wagner and Gabriel Major

RE: Respondent's Response to Complainant's Request for Production
D. F. Young, Inc. v. NYK Line (North America) Inc.
Docket No. 16-02 (F.M.C.)
Our File: 00-10102/PMK

Gentlemen:

Enclosed please find Respondent's Response to Complainant's Request For Production cross referenced to the applicable Bates numbers of the responsive documents together with a CD of documents Bates Numbered 1-55,098.

Very truly yours,
CICHANOWICZ CALLAN KEANE
& De MAY, LLP

By:

____S/PMK_____

Paul M. Keane

NYK's Opposing EXHIBIT 3

**BEFORE THE
FEDERAL MARITIME COMMISSION**

D.F. YOUNG, INC.,	:	
Complainant,	:	
v.	:	
NYK LINE (NORTH AMERICA), INC.,	:	DOCKET NO.: 16-02
Respondent.	:	

**COMPLAINANT D.F. YOUNG, INC.’S STATEMENT OF MATERIAL FACTS
IN SUPPORT OF ITS MOTION FOR SUMMARY JUDGMENT**

Complainant, D.F. Young, Inc. (“Complainant”), by and through its undersigned counsel, and pursuant to 46 CFR §502.70(a) submits this Statement of Material Facts (“SMF”) in support of its Motion for Summary Judgment (“Motion”) because Complainant is entitled to summary judgement in it’s favor and against Respondent on its Freight Forwarder Compensation claim because Complainant has performed freight forwarding services and satisfies the requirements of Section 40904 of the Shipping Act and 46 CFR §§515.42, *et seq.*

Contrariwise, Respondent has no legitimate defense to the claim other than the fact that they simply do not want to pay freight forwarders compensation provided under their Tariff. is SMF demonstrates that there is no genuine dispute that Complainant performed the services described in Respondent’s applicable, published tariff and in the corresponding sections of the Shipping Act and FMC regulations meriting freight forwarder compensation and that no agreement was reached by any party to waive such compensation.

Complainant will rely upon the following Exhibits in support of this Motion:

- A. Respondent’s Answers to Complainant’s Request for Admissions;
- B. Tariff NYKS-156, Rule 9: *Freight Forwarder Compensation*;
- C. Testimony Complainant’s Director of Global Vehicle Logistics Robert Tracy;

- D. Testimony of Ford Motor Company's Launch Manager (and former Traffic2 Manager) Steven Emmons;
- E. Agency and Indemnification Agreement between Respondent and Schenker, Inc.;
- F. Correspondences between Linda Ferguson and Respondent's Sales Manager Ted Janeway (April 12 - May 15, 2007);
- G. Testimony of former Schenker, Inc. manager/current Wallenius Wilhelmsen Logistics documentation manager Linda Ferguson;
- H. Testimony of Respondent's corporate designee John Grbic;
- I. Ford Booking Process NYK/GCC with Schenker as ocean freight forwarder;
- J. Testimony of Complainant's Letter of Credit Coordinator, Darlene Schwark;
- K. "Transportation Services Main Agreement" dated December 20, 2012 between Respondent and The Ford Motor Company ("Ford") ("2013 Ford/NYK Service Contract");
- L. "Global Logistics Provider and International Trade Documents Service Provider Services Agreement" dated January 15, 2015 between Ford and Complainant (the Ford/DFY GLP Contract");
- M. Ford Booking Process NYK/GCC with Complainant as ocean freight forwarder;
- N. Testimony of Respondent's Vice President of Sales, Gary Hurley;
- O. Testimony of Wallenius Wilhelmsen Logistics traffic coordinator, Sharon Parcha;
- P. Copy of Ford shipment bill of lading printed by Complainant;
- Q. Complainant's Responses to Respondent's Interrogatories;
- R. Federal Maritime Commission Ocean Transportation Intermediary License No. 656F;
- S. U.S. Treasury Department License for Customhouse Broker No. 1259;
- T. Respondent's Answers to Complainant's Interrogatories.
- U. Correspondence from Steven Emmons dated February 6, 2015;
- V. Correspondence from Robert Tracy to Ted Janeway dated February 17, 2015;
- W. Correspondences between Gary Hurley and Robert Tracy;
- X. Agreement between Complainant and Respondent dated April 2, 2015;
- Y. Correspondences between Gary Hurley and Steven Emmons;
- Z. Proposed "Amendment 45" to the 2013 Ford/NYK Service Contract ("Amendment 45");
- AA. "Transportation Services Main Agreement" dated September 19, 2015 between Respondent and Ford ("2016 Ford/NYK Service Contract");
- BB. Complainant's Verified Complaint;
- CC. April 13, 2016 and August 5, 2016 Demands;
- DD. Correspondences between Thomas Wagner and Paul Keane from August 2, 2016 through August 10, 2016;
- EE. Respondent's Amended Answer to Verified Complaint;
- FF. Respondent's "Ford Contacts" list; and
- GG. Respondent Notice of cancelation of Tariff NYKS 156, Rule 9: Freight Forwarder Compensation.

NYK's Opposing EXHIBIT 4

THE FEDERAL MARITIME COMMISSION

D.F. YOUNG, INC.

Complainant,

v.

NYK LINE (NORTH AMERICA), INC.,

Respondent.

Docket No. 16-02

RESPONDENT'S ANSWER
TO COMPLAINANT'S REQUEST
FOR ADMISSIONS

Respondent, by its undersigned attorneys, answers Complainant's Requests for Admissions ("RFA") as follows:

SPECIFIC OBJECTIONS TO DEFINITIONS

Respondent objects to the RFA's boilerplate Definitions on grounds that (A) they seem to have been drafted to apply to discovery methods other than Requests for Admissions, and (B) they purport to impose obligations on Respondent that are greater than or different from those imposed by 46 C.F.R. 502. 207 and 502.12.

Definition No. 1: The applicability of the Commission's Rules and the Federal Rules of Civil Procedure are determined by the Rules themselves and not by any party's self-created definitions.

Definition No. 3: Requests for Admissions are not a method for obtaining documents or information. They may only be used to obtain admissions as to the truth of specific matters or the genuineness of specific documents.

Definition Nos. 4 – 6, 12 - 13: These definitions make the requests vague or compound rather than singular, specific and detailed; and they violate 46 CFR

502.207(a)(i) which says that, “Each matter of which an admission is requested shall be separately set forth.”

Definition No. 7: 46 CFR 502.207(a)(2)(ii) and (iii) set forth the obligations of an answering party that cannot truthfully admit or deny or that pleads lack of information. Complainant cannot add to those obligations.

Definition No. 8: Requests for Admissions are not a method for discovering the identity of anything. They may only be used to obtain admissions as to the truth of specific matters or the genuineness of specific documents.

Definition No. 9 (first): 46 CFR 502.207(a)(2)(ii) sets forth the obligation of a party that asserts an objection whether for privilege or otherwise. Complainant cannot add to those obligations. Moreover, Requests for Admissions are not a method for obtaining, facts or documents.

Definition No. 9 (second): Requests for Admissions are not a method for obtaining information about documents.

Definition No. 10: Requests for Admissions are not a method for obtaining production of documents.

Definition No. 11: Requests for Admissions are not a method for obtaining information or production of documents.

Definition No. 15: Requests for Admissions are not a method for obtaining information or production of documents.

Definition No. 16: Requests for Admissions are not a method for obtaining production of documents.

Definition No. 17: Requests for Admissions are not a method for obtaining information.

Definition No. 25: Respondent treats this instruction as Complainant's waiver of the requirement under 46 CFR 502.207(a)(3) that Respondent seek permission from the Presiding Officer in order to amend these answers.

For the foregoing reasons, Respondent will not be bound by any of Complainant's Definitions to which it has objected and will answer instead in compliance with 46 CFR 502.207. The following answers are without prejudice to Respondent's objections.

ANSWER TO REQUESTS FOR ADMISSIONS

1. **Admit that on March 1, 2015, Respondent had a tariff published or otherwise made available to the public that required it to pay freight forwarder compensation.**

Answer: Admits that on March 1, 2015, Respondent had a tariff published or otherwise made available to the public which was solely applicable to Ro Ro shipments, i.e., Tariff 156 which provided at Rule 9 that compensation will be paid to ocean freight forwarders in accordance with the rules and regulations promulgated by The Shipping Act of 1984 and only where such forwarder has complied with all the requirements of such Act, and, except as so admitted, denies RFA no. 1.

2. **Admit that Respondent has not amended, revoked, or otherwise changed the tariff in effect on March 1, 2015 that obligated it to pay freight forwarder compensation.**

Answer: Admits that Respondent has not amended, revoked, or otherwise changed Tariff 156 in effect on March 1, 2015 and, except as so admitted, denies RFA no. 2.

3. Admit that Respondent's tariff in effect since no later than March 1, 2015 requires Respondent to pay freight forwarder compensation in the amount of 1.25% on any freight rates or outport arbitraries contained in said tariff.

Answer: Admits that Respondent's Tariff 156 was applicable to Ro Ro shipments and was in effect as of March 1, 2015 and Rule 9 of Tariff 156 provided for freight forwarder compensation of 1.25% if the freight forwarder has complied with the rules and regulations promulgated by the Shipping Act of 1984 and has complied with the requirements of such Act. Respondent further admits that the shipments in question were not shipped pursuant to any tariff or tariff rates but were shipped pursuant to a Service Contract between Respondent and Ford Motor Company; and, except as so admitted, denies RFA no. 3.

4. Admit that the tariff provides for freight forwarder compensation at the rate 1.25% on certain accessorial charges, port charges, heavy lift and long length charges, origin receiving charges, destination delivery charges, rental fees assessed for use of containers, and/or surcharges assessed in addition to freight rates published in Respondent's applicable tariff or tariffs.

Answer: Admits that Tariff 156 provides at Rule 9 that freight forwarder compensation shall be paid on the gross weight which includes the tariff rate and heavy lift and extra freight charges, if applicable, and, except as so admitted, denies RFA no. 4.

5. Admit that Respondent may not pay freight forwarder compensation at a rate other than that described in its effective tariff.

Answer: Admits that Respondent could only pay freight forwarder compensation at the rates specified in its applicable Tariff Rule 9 provided the freight forwarder performed the services set forth in its verification and complied with the requirements of the Tariff 156 and applicable FMC regulations. and, except as so admitted, denies RFA no. 5.

6. Admit that Complainant may not accept freight forwarder compensation at a rate other than that described in a tariff covering shipments for which it has supplied freight forwarder services, if such a tariff was published or otherwise made available to the public at the time of such shipments.

Answer: Admits that Complainant was not entitled to receive freight forwarder compensation from NYK since it did not perform the services set forth in its verifications submitted to NYK but, if it had performed the necessary services, which is denied, it could not receive freight forwarder compensation at a rate other than that described in a tariff covering shipments for which it has supplied freight forwarding services, if such tariff was published or otherwise made available to the public at the time of such shipments and, except as so admitted, denies RFA 6.

7. Admit that Complainant may not accept freight forwarder compensation on shipments of Ford products from March 1, 2015 through to the present date carried on vessels owned and/or operated by Respondent other than at the rate described in Respondent's tariff continuously effective during that same time period.

Answer: Admits that Complainant was not entitled to receive or accept freight forwarder compensation on shipments of Ford products from March 1, 2015 to the present on vessels owned or operated by Respondent since it did not perform the services specified in the verifications it submitted to Respondent and, except as so admitted, denies RFA no. 7.

8. Admit that Complainant is licensed by the Federal Maritime Commission as a freight forwarder and has been at all times from March 1, 2015 to the present date.

Answer: Admits RFA no. 8.

9. Admit that Complainant's Federal Maritime Commission freight forwarder license number is 656F.

Answer: Admits that according to the FMC website, the license number for Respondent is 000656 and, except as so admitted, denies RFA no. 9.

10. Admit that Complainant has a valid customhouse broker license from the U.S. Treasury Department which has been in effect since no later than March 1, 2015.

Answer: Lacks knowledge or information sufficient to admit or deny RFA 10. Pursuant to 46 CFR 502.207(a)(2)(ii), reasonable inquiry has been made and the information known or readily obtainable is insufficient to enable Respondent to admit or deny RFA no. 10. Respondent does admit that a document submitted as an exhibit to the complaint indicates Custom house Broker license in the name of Complainant.

11. Admit that Complainant's custom house broker license number is serial number 1259.

Answer: Lacks knowledge or information sufficient to admit or deny RFA 11. Pursuant to 46 CFR 502.207(a)(2)(ii), reasonable inquiry has been made and the information known or readily obtainable is insufficient to enable Respondent to admit or deny RFA no. 11. Respondent does admit that a document submitted as an exhibit to the complaint indicates a customhouse broker license number 1259.

12. Admit that since March 1, 2015, Respondent has accumulated freight charges on shipments on Ford products carried on vessels owned and/or operated by Respondent in an amount in excess of \$20,000.000.00.

Answer: Admits that since March of 2015 Respondent has invoiced freight charges which, at times, included bunker surcharges as per the Bunker Surcharge formula in the

Ford Service Contract and that the total of such combined charges exceeded \$20,000,000 and further admits that NYK Tariff 156 provides that no freight forwarder commissions are payable in regard to bunker surcharges and except as so admitted denies the allegations in RFA 12.

13. Admit that Respondent has been paid in excess of \$20,000,000.00 by Ford for freight charges on shipments on Ford products carried on vessels owned and/or operated by Respondent.

Answer: Admits that respondent has been paid in excess of \$20,000,000 in freight which at times included bunker surcharges where applicable under the Bunker surcharge formula in the Ford Service contract and further admits that NYK Tariff 156 provides that no freight forwarder commissions are payable in regard to Bunker surcharges and except as so admitted denies the allegations in RFA 13.

14. Admit that the freight charges accumulated by Respondent since March 1, 2015 on shipments of Ford products carried on vessels owned and/or operated by Respondent relate to bills of lading prepared, processed, and/or issued by Complainant.

Admits that the freight charges applied to Ford shipments shipped pursuant to the Service Contract between Ford and NYK (Bates ____ - ____) since March 1, 2015 on vessels owned, operated or chartered by Respondent were carried pursuant to bills of lading remotely printed by Complainant at Ford's request pursuant to a POA Agreement dated April 2, 2015 and, except as so admitted, denies RFA no. 14.

15. Admit that the bills of lading related to shipments of Ford products from March 1, 2015 carried on vessels owned and/or operated by Respondent for which Respondent has been paid freight charges or is still owed freight charges by Ford include all the bills of lading included with and referenced in Complainant's demands sent to Respondent for freight forwarder compensation on or about September 24, 2015, December 22, 2015, and January 13, 2016.

Answer: Admits RFA no. 15.

16. Admit that Complainant prepared, processed, and/or issued all of the bills of lading included with Complainant's demands sent to Respondent for freight forwarder compensation on or about September 24, 2015, December 22, 2015, and January 13, 2016.

Answer: Admits that Complainant's sole duty as far as providing freight forwarding services to Respondent in regard to the Ford shipments was to remotely print at Fords request the bills of lading to be used for Ford shipments as per clause 3 of the Agreement dated April 2, 2015 and, except as so admitted, denies RFA no. 16.

17. Admit that all of the shipments of Ford products carried on vessels owned and/or operated by Respondent for which Complaint sought compensation in its demands sent on or about September 24, 2015, December 22, 2015, and January 13, 2016 sailed within 6 months of the corresponding demand for compensation sent by Complainant.

Answer: Admits RFA no. 17.

18. Admit that the ports listed on the bills of lading included with and referenced in Complainant's demands to date to Respondent for freight forwarder compensation are listed in Respondent's effective tariff.

Answer: Admits that the Ports listed on the applicable bills of lading were listed in the applicable Service Contract between Ford and NYK and except as so admitted denies RFA

19. Admit that all demands made by Complainant to Respondent to date for freight forwarder compensation have included certification required by 46 CFR §515.42 that Complainant performed freight forwarder services and that Complainant has no beneficial interest in the shipments for which Complainant states it provided freight forwarding services.

Answer: Admits that all demands made by Complainant to Respondent to date for freight forwarder compensation included certifications required by 46 CFR § 515.42 that complainant performed freight forwarder services even though such services as set forth in 46 CFR § 515.42 were never performed and further admits that Complainant has no beneficial interest in the shipments for which Complainant claims it provided freight forwarding services on behalf of Respondent and, except as so admitted, denies RFA no. 19.

20. Admit that Complainant included copies of its FMC freight forwarder license and U.S. Treasury Department customhouse broker license with its demands to Respondent for freight forwarder compensation.

Answer: Admits RFA no. 20.

21. Admit that Complainant engaged, booked, secured, or otherwise reserved space on Respondent's vessels for shipments of Ford products listed on the bills of lading included with and referenced in Complainant's demands sent to Respondent for freight forwarder compensation on or about September 24, 2015, December 22, 2015, and January 13, 2016.

Answer: Denies RFA no. 21.

22. Admit that Complainant has had no beneficial interest as defined in 46 CFR §515.2(b) in any shipment of Ford products carried on vessels owned and/or operated by Respondent.

Answer: Respondent can neither admit nor deny whether Complainant has any beneficial interest in the shipments of Ford products since it is not privy to Complainant's internal financial dealings with Ford.

23. Admit that Complainant has never requested that Respondent perform any freight forwarding services on shipments of Ford products carried on vessels owned and/or operated by Respondent.

Answer: Admits RFA no. 23.

24. Admit that Complainant did not act as a non-vessel operating common carrier on any shipments from March 1, 2015 through to the present date of Ford products carried on vessels owned/and or operated by Respondent.

Answer: Lacks knowledge or information sufficient to admit or deny RFA 24. Pursuant to 46 CFR 502.207(a)(2)(ii), reasonable inquiry has been made and the information known or readily obtainable is insufficient to enable Respondent to admit or deny RFA no. 24.

25. Admit that Complainant has not made any statements, written or oral, waiving any freight forwarder compensation it might be owed on shipments from March 1, 2015 through to the present date of Ford products carried on vessels owned/and or operated by Respondent.

Answer: Denies RFA no. 25.

26. Admit that Complainant has not entered into any agreements with Respondent, written or oral, in which Complainant waived any freight forwarder compensation it might be owed on shipments from March 1, 2015 through to the present date of Ford products carried on vessels owned/and or operated by Respondent.

Answer: Denies FRA 26.

27. Admit that no terms or provision of the Agreement executed by Complainant and Respondent waives any freight forwarder compensation it might be owed on shipments from March 1, 2015 through to the present date of Ford products carried on vessels owned/and or operated by Respondent.

Answer: Admits that there are no terms or provisions in the signed Agreement which entitle Complainant to freight forwarder compensation on any Ford shipments from March 1, 2015 to present and further admits that Complainant attempted to include freight forwarding compensation provisions in the Agreement and agreed to withdraw such provision when Respondent advised that it would not pay freight forwarder compensation on the Ford Service Contract shipments, and, except as so admitted, denies RFA no. 27.

28. Admit that Paragraph 3 of the Agreement specifically provides that bookings of shipments of Ford products on vessels owned and/or operated by Respondent may be made by Complainant.

Answer: Admits that paragraph 3 of the Agreement states that “Electronic bill of lading data shall in accordance with bookings made by Forwarding Agent and/or Ford be created by Carrier or its duly authorized agent and transmitted to Forwarding Agent via EDI, for the sole purpose of printing at Forwarding Agent’s office bills of lading to be used for the Ford shipments identified above.” Respondent further admits that all bookings were made by Ford and, except as so admitted, denies RFA no. 28.

29. Admit that Complainant and Respondent executed the Agreement after Respondent retracted its request to include a provision related to a proposed waiver of freight forwarder compensation by Complainant.

Answer: Admits that Complainant and Respondent executed the Agreement after Complainant withdrew a demand for freight forwarder compensation and further admits that the Agreement speaks for itself and, except as so admitted, denies RFA no. 29.

30. Admit that Respondent has paid no freight forwarder compensation to Complainant for any shipments from March 1, 2015 through to the present date of Ford products carried on vessels owned/and or operated by Respondent.

Admits RFA no. 30.

Dated: White Plains, NY, April 8, 2016

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White Plains, NY 10606
212-344-7042 (T)
914-682-2083
Attorneys for Respondent

By: _____
Paul M. Keane

VERIFICATION

STATE OF NEW JERSEY, COUNTY OF HUDSON, SS:

John Grbic, being duly sworn, deposes and says:

I am the Senior Director of RoRo Trade for Respondent, NYK Line (North America) Inc. I have read the foregoing RESPONDENT'S ANSWER TO COMPLAINANT'S REQUEST FOR ADMISSIONS and know its contents. The same is true and correct to the best of my knowledge.



John Grbic,

Subscribed and sworn to

before me on April 8th, 2016



HYUNAH K. CHUNG
NOTARY PUBLIC, State of New Jersey
No. 2417911
Qualified in Bergen County
My Commission Expires Feb. 28, 2017